

BHUTAN

Growth decelerated in 2023 as industrial output contracted. Inflation eased and the fiscal deficit moderated, but the current account deficit remained elevated. Growth will revive in 2024 and accelerate in 2025 as a major hydropower plant comes onstream. Inflation will edge up this year before moderating in 2025, as will the current account deficit. To achieve the goal of becoming a more prosperous economy by 2034, Bhutan needs to adopt an innovative and inclusive financing strategy that engages the private sector.

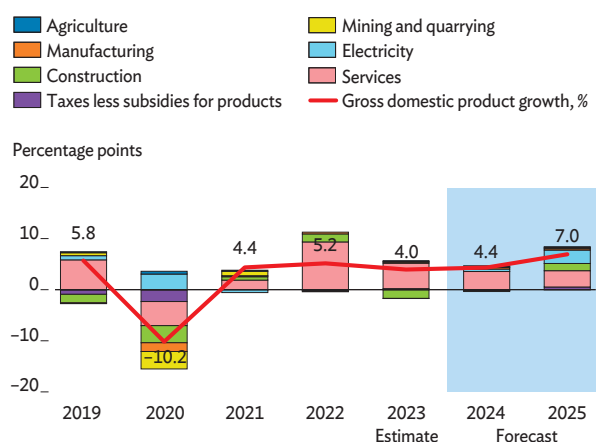
Economic Performance

Economic growth slowed from 5.2% in 2022 to 4.0% in 2023, primarily because of contraction in industry. Industrial output contracted by 4.4% owing to a credit moratorium on commercial housing and hotel construction that was imposed in mid-2023 to conserve foreign exchange reserves, and due to contraction in hydropower output because of suboptimal hydrological flow (Figure 2.16.1). Services expanded by an estimated 9.4%, underpinned by strong expansion in accommodation and food services, transport, and public administration. Agriculture grew by a modest 1.3% due to an erratic monsoon and a shortage of fertilizer. The sector employs over 40% of the labor force but continues to be hampered by low labor productivity due to reliance on traditional farming methods, challenging topography, and erratic weather exacerbated by climate change.

On the demand side, growth was supported by continued expansion in consumption expenditure. This was underpinned by a marked increase in civil servants' salaries and wages and an election year boost in government expenditure in the second half of 2023 (Figure 2.16.2). Private consumption expenditure expanded by 3.5%, and public consumption by 2.4%. The transition from the 12th to the 13th Five-Year Plan delayed investment outlays in the second half of 2023 and the credit moratorium on commercial housing and hotel construction hampered private sector investment. As a result, gross fixed investment contracted by an estimated 4.9% in 2023.

Figure 2.16.1 Supply-Side Contributions to Growth

Gross national product growth moderated in 2023 as industry output slumped.



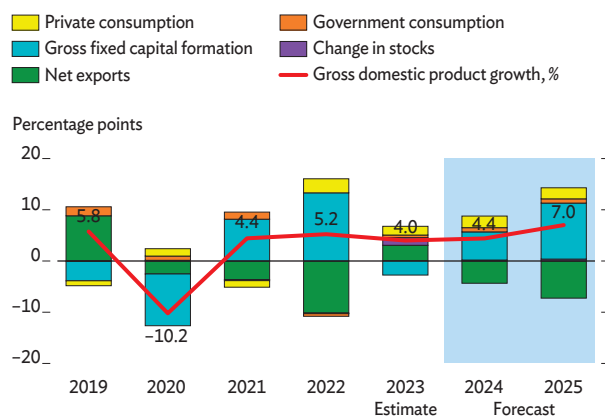
Sources: National Statistics Bureau; Haver Analytics; Asian Development Bank estimates.

A slowdown in nonfood price inflation moderated average inflation to 4.2% in 2023 from 5.6% in 2022. A midyear fall in fuel prices offset some of the price increases in health care, housing, utilities, and recreation and culture. The salary and wage increase for public servants and higher food prices in the second half of 2023 led to an uptick in inflation in the fourth quarter of 2023 (Figure 2.16.3).

The budget deficit narrowed on higher revenue and grants. It fell from 7.0% of GDP in fiscal year 2022 (FY2022, ended 30 June 2022) to 6.7% in FY2023

Figure 2.16.2 Demand-Side Contributions to Growth

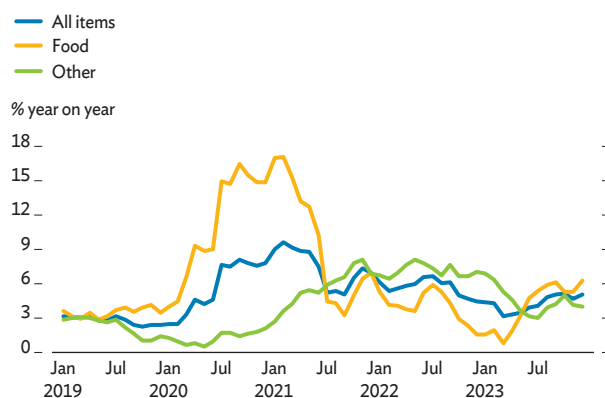
Gross domestic product growth moderated in 2023 as investment slumped.



Sources: National Statistics Bureau; Haver Analytics; Asian Development Bank estimates.

Figure 2.16.3 Inflation

Inflation moderated in 2023 as global fuel prices decreased.

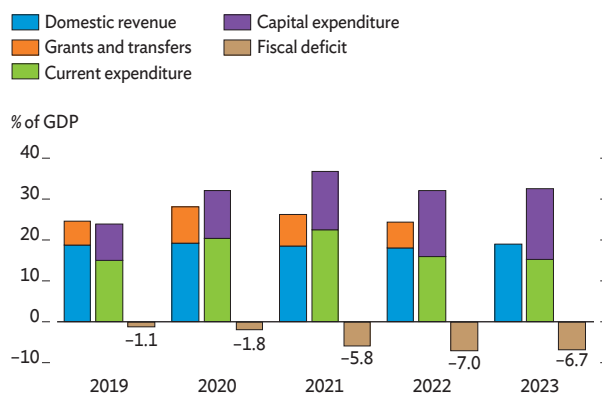


Sources: National Statistics Bureau; Haver Analytics.

as revenue and grants expanded from 25.1% of GDP in FY2022 to 25.7% in FY2023, owing to marginally improved inflow of budgetary grants and transfers (Figure 2.16.4). Government spending increased from 32.1% of GDP in FY2022 to 32.4% in FY2023 as both current and capital expenditure grew. While increased tax revenue effectively covers current expenditures, Bhutan still grapples with adequately financing development activities due to a narrow tax base. Domestic public debt decreased to 11.4% of GDP in 2023 on improved revenue from direct taxes and the settlement of outstanding facilities. Debt service equals 32.4% of domestic revenue, indicating moderate risk of debt distress.

Figure 2.16.4 Fiscal Indicators

The fiscal balance improved slightly in 2023 as revenues increased.



GDP = gross domestic product.

Sources: National Statistics Bureau; Haver Analytics; Asian Development Bank estimates.

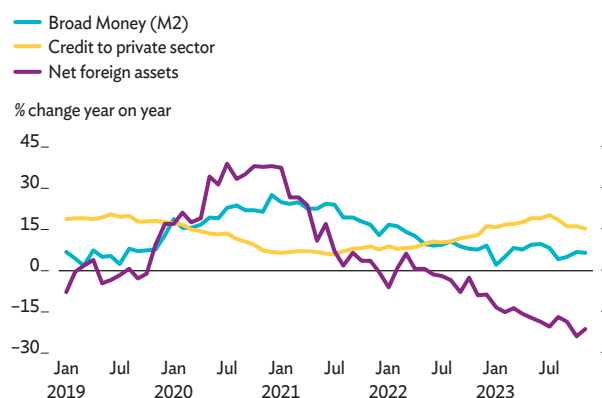
Monetary policy remained accommodative in 2023.

While the net foreign assets of the banking system declined by 21%, money supply expanded by 6.7%, primarily on expansion of domestic credit despite the moratorium on construction credit (Figure 2.16.5). Credit to the private sector increased by 15.5%, indicating heightened demand for private investment.

The current account deficit narrowed to an estimated 25.2% of GDP in 2023, down from 31.2% in 2022. This reflected narrower deficits in both goods and services trade (Figure 2.16.6). A sharp fall in electricity exports by 23% offset growth in other exports of 5.4%, while imports of bitcoin processing units and machinery and mechanical

Figure 2.16.5 Monetary Indicators

Monetary policy was accommodative in 2023.

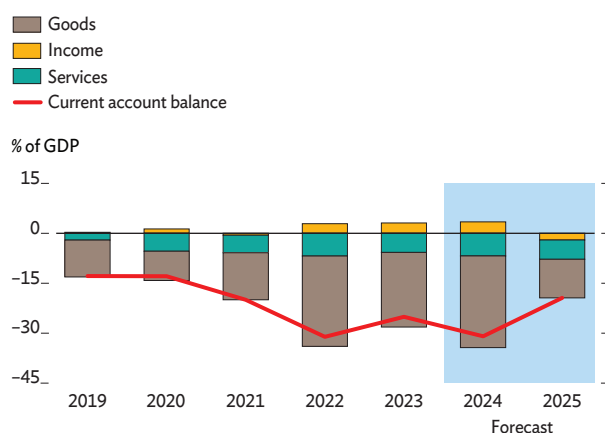


Sources: National Statistics Bureau; Haver Analytics; Asian Development Bank estimates.

appliances sharply fell, lowering total imports. The large current account deficit led to a drop of 20% in foreign exchange reserves. Since the bulk of Bhutan's imports are denominated in Indian rupees, a decline in rupee earnings from hydropower exports is a matter of concern. In 2023, public external debt dropped by 2.9 percentage points to equal 101.9% of GDP, of which hydropower debt accounted for 66.3%. About 64.3% of the public external debt was owed to India, of which 93.8% was hydro debt, considered self-liquidating under a long-term power purchasing agreement with India (Figure 2.16.7).

Figure 2.16.6 Components of the Current Account

The current account improved as deficits in both goods and services moderated.

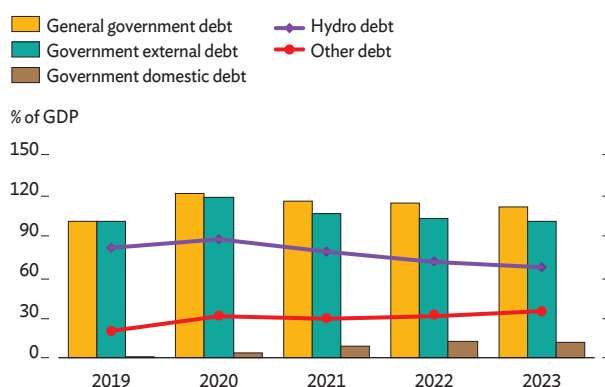


GDP = gross domestic product.

Sources: National Statistics Bureau; Haver Analytics; Asian Development Bank estimates.

Figure 2.16.7 Government Debt

Public debt remained high in 2023.



GDP = gross domestic product.

Sources: Ministry of Finance; Haver Analytics; Asian Development Bank estimates.

Economic Prospects

Modest growth of 4.4% is forecast in 2024 before marked acceleration to 7.0% in 2025 (Table 2.16.1).

Services growth will underpin 2024 GDP growth, and greater hydropower generation in 2025 will boost growth in 2025. Services are forecast to expand by 6.5% in 2024 as tourist arrivals reach 60% of the 2019 level before the pandemic. Industry output will rebound to 2.5% on an upswing in all its constituents aside from construction. A contribution from the newly commissioned Nikachhu hydropower plant in early 2024 will add to growth. However, the continuation of the credit moratorium on the construction of commercial buildings and real estate until mid-2024 and a slow start to 13th Five-Year Plan activities will drag down construction by 2.2% in 2024, before a rebound in 2025. Agriculture growth will remain steady but sluggish at 1.4% in the forecast years. The contribution from services will remain strong in 2025, with services forecast to grow at 5.7% on steady growth in tourist arrivals. Industry output is forecast at 15.6% in 2025, driven by double-digit growth in electricity and construction, supported by resumed construction on the 600-megawatt Kholongchhu hydropower plant in 2025. The expected full commissioning of the Punatsangchhu II hydropower plant will raise industrial output markedly and add close to 5 percentage points to GDP growth in 2025. India's robust growth in the forecast years will drive Bhutan's growth through increased exports of goods and services, as the two economies share strong economic ties.

Steady growth in domestic demand will remain the main growth driver in 2024 and 2025.

Private consumption will grow by 4.6% in 2024 on higher tourism earnings and the increase in civil service salaries. Consumption growth is estimated to hold

Table 2.16.1 Selected Economic Indicators, %

Inflation will rise this year before moderating in 2025, as growth accelerates in both years.

	2022	2023	2024	2025
GDP growth	5.2	4.0	4.4	7.0
Inflation	5.6	4.2	4.5	4.2

GDP = gross domestic product.

Sources: Ministry of Finance; National Statistics Bureau; Asian Development Bank estimates.

steady in 2025 on continued credit expansion to the private sector and steady remittances. Public consumption growth is forecast to stabilize around 4.0% in the forecast years on expansion in recurrent expenditure. Fixed investment will rebound markedly in the forecast years from contraction by 4.9% in 2023 as private investment rises on steady credit growth and public investment grows as the government implements the 13th Five-Year Plan. The budget deficit is projected to widen to 8.3% of GDP in FY2024 due to a drop in grants and transfers to less than half of the previous fiscal year. It will narrow to 2.4% in FY2025 on a near tripling of grants already committed for the implementation of the 13th plan and on transfers from full operation of the Punatsangchhu II plant.

The current account deficit will widen in 2024 before narrowing in 2025. The deficit is projected at 28.8% of GDP in 2024, 3.7 percentage points wider than in 2023, largely on a growing trade deficit, particularly with India, and lower budgetary grants and transfers. The deficit will narrow to 15.7% of GDP in 2025 largely due to a surge in hydropower exports coming from the newly commissioned hydropower plants.

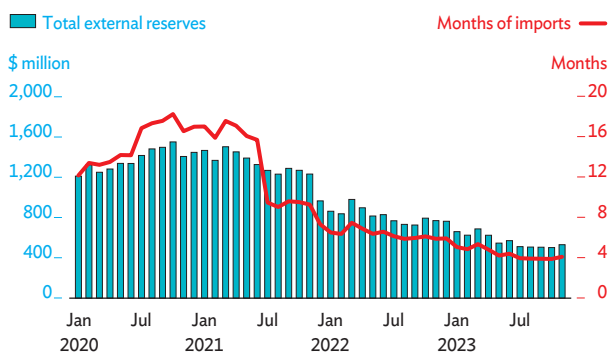
Headline inflation is projected to rise slightly to 4.5% in 2024 and moderate to 4.2% in 2025.

Inflation will closely track global prices for petroleum, food, and other commodities that are prominent in Bhutan's import basket. A rise in inflation from 4.2% in 2023 to 4.5% in 2024 is also reflective of increased spending propensity driven mainly by the civil servant's salary increase in mid-2023. However, as Indian imports constitute about half of Bhutan's consumer price index, continuing moderation of inflation in India will help contain inflation in Bhutan. With improvements in the global supply chain and moderate inflation in India, average inflation in Bhutan will moderate in 2025.

Risks to the outlook are largely skewed to the downside. Growth in foreign currency reserves is expected to be subdued in 2024 because of lower inflow of grants and transfers, but persistent decline in foreign currency reserves could pose a risk (Figure 2.16.8). Lower-than-expected tourist arrivals would derail growth projections and adversely affect foreign currency reserves. Erratic monsoons or floods

Figure 2.16.8 External Reserves

Declining external reserves is a downside risk.



Source: Royal Monetary Authority.

could depress farm output and hydropower energy generation, as well as damage infrastructure. Domestic risks include delays in the commissioning of the hydropower plants, tighter-than-expected fiscal space, continuing attrition of employees from both the public and the private sector, and the mass outmigration of youthful talent to developed economies.

Policy Challenge—Innovative Financing for Growth

The 13th Five-Year Plan acknowledges the importance of public-private partnership (PPP) to finance infrastructure development and service delivery. To overcome the plan's resource gap, estimated at 9% of GDP, and to achieve the goal of transforming Bhutan into a high-income economy by 2034, Bhutan needs to adopt an innovative financing strategy involving all stakeholders, including the private sector. Globally, PPPs have proven vital for leveraging private finance and addressing financing gaps. The World Bank's Private Participation in Infrastructure Report 2023 highlights that PPPs mobilized \$36.4 billion across 44 economies in the first half of 2023, covering energy, health care, transport, waste, sewerage, and greenfield projects. In South Asia, PPPs attracted \$1.8 billion, with India leading in implementing PPP projects. By leveraging the potential of PPPs and attracting private sector participation, Bhutan can bridge the fiscal gap for sustainable development, generate employment, and foster partnerships.

Despite political commitment and a favorable legal framework in Bhutan, progress in PPP implementation has been limited. Challenges to implementing PPP projects in Bhutan include complex institutional settings, the absence of provision for unsolicited proposals, centralized approval procedures, a small market with a nascent private sector, dominant state-owned enterprises, limited awareness of PPPs, and a scarcity of successful examples. Owing to these shortcomings, Bhutan's only PPP, the Multi-Level Car Park in Thimphu, has not spurred further PPP development. A revised PPP policy, awaiting cabinet approval, aims to address these challenges and create a conducive environment for the smooth implementation of PPP projects. The updated policy seeks to streamline the approval process and framework, categorize projects by size for quicker approval, integrate PPP into sectoral plans, and allow unsolicited project proposals, among other enhancements.

Achieving PPP success in Bhutan requires enhanced capacity to structure and negotiate contracts. To this end, the country needs a risk-sharing formula and a robust mechanism for assessing and mitigating various risks. Given Bhutan's small market and private sector, the government must actively promote a PPP agenda to attract private sector participation. It should develop capacity to

assess and ensure the financial viability of PPP deals. Implementing PPP projects necessitates a robust regulatory and institutional framework, a conducive business environment, prudent fiscal management, and government commitment to reducing its sizeable contingent liabilities. Increasing access to long-term finance through domestic markets is crucial. Capacity, consensus building, and sector-wide support at all implementation levels are essential for overseeing, selecting, monitoring, and implementing PPPs. Implementing PPPs can entail complex contract structuring, negotiation, and follow-up with sometimes substantial budgetary costs. To contain these costs, the PPP program should be included in a medium-term fiscal framework. Reform of state-owned enterprises and their selective privatization are also necessary. According to the World Bank report mentioned above, such reforms have played a pivotal role in fostering the PPP process in Brazil, Colombia, and the Philippines. Experience with waste management and waste-to-energy PPP projects in Bangladesh, India, the People's Republic of China, and the Philippines emphasize the need for robust and transparent tendering and contracting processes to realize PPP benefits. Achieving these reforms and establishing the necessary frameworks for PPPs will take time. Given the importance of this type of development financing, implementing the necessary reforms should start now.